

Challenges and Required Support

Axes: 01 Legislative and Regulatory Challenges 02 Financial Challenges 03 Procedural and Operational Challenges

01

First Axis

Legislative and Regulatory Challenges

Challenge No.

01.1

Aligning subsidy programs with economic variables to ensure sustainability.

Key Background / Justification: Fluctuations in financing costs and market dynamics require flexibility to ensure sustainability and direct support to eligible groups.



Solution

Periodic review of the subsidy matrix and targeting frameworks, and escalating necessary matters to governance.



Impact

Achieving more efficient and sustainable support with better direction to eligible groups.



Decision/Required Support

Aligning and updating targeting criteria, the subsidy matrix, and support limits in accordance with economic variables.



Decision Type

Directing and adopting policies at the level of the financing ecosystem.



Entity Responsible for Providing Support

Housing Ecosystem

Complexity of contractual obligations and multiple parties (REDF – Financier – Beneficiary).

Key Background / Justification: The involvement of multiple parties increases the risk of discrepancy and disputes; standardizing requirements reduces complaints and enhances transparency.



Solution

Standardizing contract templates and enhancing the clarity of obligations, notification mechanisms, and verification processes.



Impact

Reducing disputes, increasing transparency, and ensuring a seamless beneficiary journey.



Decision/Required Support

Standardizing minimum contract requirements, disclosure, and compliance among all participating financiers.



Decision Type

Standardized regulation/standard for the financing market.



Entity Responsible for Providing Support

Housing Ecosystem Financial Partners, Saudi Central Bank (SAMA).

Challenge No.

01.2

02

Second Axis

Financial Challenges

Challenge No.

02.1

Fluctuation of financing costs and its reflection on purchasing power.

Key Background / Justification: Financing cost fluctuations may weaken homeownership capability; facilities maintain purchasing power and reduce withdrawal rates.



Solution

Designing progressive and flexible support tools, activating financing partnerships, and improving targeting.



Impact

Enhancing housing affordability and reducing beneficiary sensitivity to rising financing costs.



Decision/Required Support

Providing solutions to mitigate the financing burden (designing products/progressive support) and appropriate financing facilities for eligible groups.



Decision Type

Sector-level financing arrangements/packages (External).



Entity Responsible for Providing Support

Housing Ecosystem, Housing Ecosystem Financial Partners.

Credit default risks for certain segments.

Key Background / Justification: Strengthening credit risk management tools and ensuring the sustainability of real estate financing.



Solution

Activating guarantee tools in accordance with regulatory frameworks to enhance bankability and mitigate risks.



Impact

Achieving higher inclusivity while controlling risks and improving portfolio quality.



Decision/Required Support

Supporting and enabling guarantee tools to enhance bankability and mitigate risks.



Decision Type

Regulating and strengthening credit risk management controls



Entity Responsible for Providing Support

Housing Ecosystem

Challenge No.

02.2

03

Third Axis

Procedural and Operational Challenges

Challenge No.

03.1

Difficulty in accelerating the beneficiary journey and reducing service turnaround time.

Key Background / Justification: Reducing operational friction requires integration between parties to accelerate procedures and enhance service quality.



Solution

Expanding digital channels and services, simplifying procedures, and increasing commitment to Service Level Agreements (SLAs).



Impact

Improving the beneficiary experience and increasing operational productivity.



Decision/Required Support

Digital integration, data exchange, and operational linking with partners to reduce processing time and standardize service levels.



Decision Type

Collaborative enablement/integration between ecosystem entities (External).



Entity Responsible for Providing Support

Relevant Government/ Digital Entities, Financing Entities, and Technical Partners (Integration and SLA Compliance).